

POLICY NUMBER: **FP-FIN-009**

EXIT OR DISPOSAL COST OBLIGATIONS ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings, Inc.'s ("Hilton") accounting for exit or disposal cost obligations in accordance with US Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC") and Securities and Exchange ("SEC") guidance.

[Policy Statement](#)

[Scope](#)

[Applicability](#)

[Exclusions/Exceptions](#)

[Authorizations](#)

[Initial Recognition and Measurement](#)

[Subsequent Measurement](#)

[Derecognition](#)

[Presentation](#)

[Financial Statement Line Items Affected](#)

[Related Documents, Tools, and Templates](#)

[Roles and Responsibilities](#)

POLICY STATEMENT

Hilton may occasionally implement strategic decisions to exit or dispose of certain activities including but not limited to:

- Sale or termination of a business unit.
- Closure of business locations in a country or region.
- Relocation of business activities from one country or region to another.
- Changes in management structure (e.g., eliminating a layer of management).
- Fundamental reorganizations that have a material effect on the nature and focus of Hilton’s operations.

These decisions could result in costs or obligations to Hilton including, but not limited to, employee termination benefits, contract termination costs (e.g., penalties to cancel service contracts) and other associated costs to consolidate/close facilities and relocate employees.

SCOPE

The scope of this policy extends to all exit and disposal activities, including restructuring activities. The costs associated with exit or disposals may include the following types of transactions:

- One-time and ongoing termination benefits provided to employees that are voluntary or involuntary terminated.
- Costs to terminate a contract that is not a lease.
- Costs to consolidate facilities or relocate employees.
- Costs associated with a disposal activity, including exit activities associated with an entity newly acquired in a business combination.

APPLICABILITY

This policy applies to all Finance personnel, as well as Asset Management, Development, Human Resources, and Legal.

EXCLUSIONS / EXCEPTIONS

Costs to terminate a lease¹ – Refer to **FP-FIN-007—Lease Accounting Policy**
Obligations associated with the retirement or disposal of a tangible long-lived asset² – Refer to **FP-FIN-025—Asset Retirement Obligations Accounting Policy**

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

TA must be notified of all exit or disposal costs with a maximum potential exposure greater than \$1 million in order to determine the appropriate accounting. For the avoidance of doubt, exit or disposal costs include but are not limited to employee termination benefits, contract termination costs, cease-use costs, and fixed asset disposals.

¹ ASC 420-10-15-3b, Exit or Disposal Cost Obligations, Overall, Scope and Scope Exceptions
² ASC 420-10-15-5, Exit or Disposal Cost Obligations, Overall, Scope and Scope Exceptions

INITIAL RECOGNITION AND MEASUREMENT

a. General Overview

Generally, Hilton will recognize a liability for costs associated with an exit or disposal activity at fair value in the period in which the liability is incurred.³ Quoted market prices are the best representation of fair value. However, in circumstances where quoted market prices are not available, other valuation techniques are permitted.⁴ If fair value cannot be reasonably estimated, the liability should not be recognized until fair value can be reasonably estimated.⁵ Refer to **FP-FIN-014—Fair Value Accounting Policy** for details.

A liability is incurred when a transaction or event occurs that leaves Hilton with little or no discretion to avoid the future transfer or use of assets to settle the liability. An exit or disposal plan by itself does not create a liability for costs expected to be incurred under the plan and is not the requisite transaction or event for recognition of a liability by itself.⁶ Events or transactions that would create a liability for Hilton include, but are not limited to:

- Notification of one-time employee termination benefits to terminated employees.
- Executed agreement for the termination of a service arrangement.
- Incurred costs to consolidate or close facilities and relocate employees.

b. Employee Termination Benefits

Employee termination benefits are typically categorized as either:

- ongoing or special termination benefits or
- one-time involuntary termination benefits.

Corporate Accounting will work with Legal and HR to determine whether the termination benefits provided are on-going in nature or considered one-time termination benefits tied to a specific termination event or specific future period. The determination of the applicable standard is important for evaluating the proper accounting treatment as the liability recognition criteria is different between the two types of benefits. The following sections provide guidance on the relevant factors to consider, although each determination should be made based on the specific facts and circumstances.

Ongoing or Special Termination Benefits (Voluntary and Involuntary)

Ongoing benefit arrangements are typically documented in a formal severance policy, employee manual, or labor contracts and include certain types of nonretirement post-employment benefits, such as job placement services or termination benefits that accrue with service. In the event termination benefits are not documented in a policy, manual, or contract, Hilton will consider any statutory requirements and the frequency and regularity for which termination benefits have been provided in the past. Absent evidence to the contrary, an ongoing benefit arrangement is presumed to exist if an entity has a past practice of providing similar termination benefits.⁷

Hilton will recognize an expense and an offsetting liability for contractual termination benefits or benefits presumed to be part of an ongoing benefit arrangement when it is:

- probable employees will be entitled to receive the benefits and
- the amount can be reasonably estimated.⁸

Nonretirement post-employment benefits offered as special termination benefits are benefits offered to employees for a short period of time in exchange for the employee's voluntary termination of service. Special termination benefits can include, but are not limited to, lump-sum payments, periodic future payments, or both and can include supplemental unemployment benefits such as job training or placement, counseling, and continuation of health care benefits and life insurance coverage for a period of time.

³ ASC 420-10-30-1, *Exit or Disposal Cost Obligations, Overall, Initial Measurement*

⁴ ASC 420-10-30-2 through 3, *Exit or Disposal Cost Obligations, Overall, Initial Measurement*

⁵ ASC 420-10-25-1, *Exit or Disposal Cost Obligations, Overall, Recognition*

⁶ ASC 420-10-25-2, *Exit or Disposal Cost Obligations, Overall, Recognition*

⁷ ASC 420-10-55-1, *Exit or Disposal Cost Obligations, Overall, Implementation Guidance and Illustrations*

⁸ ASC 712-10-25-2 through 25-5, *Compensation - Nonretirement Postemployment Benefits, Overall, Recognition*

Hilton will recognize an expense and an offsetting liability for special termination benefits when:

- employees accept the offer and
- the amount can be reasonably estimated.⁹

The expense and offsetting liability for ongoing or special termination benefits is determined based on whether the benefits are accumulating. Vested non-accumulating benefits are measured at the estimated amount, including immediate lump-sum payments and the present value of any expected future payments.¹⁰ Accumulating benefits (i.e., benefits which increase based on length of service) are measured at the estimated amount based on services rendered to date. Costs attributable to future services are recognized over the remaining service period (i.e., through the expected termination date) with adjustments made for increases in salaries and seniority.¹¹

One-Time Involuntary Termination Benefits

A one-time involuntary benefit arrangement applies to a specific termination event and only applies in a situation that is not an enhancement or part of an ongoing benefit arrangement. “One-time” refers to the involuntary benefit arrangement and not to the termination event itself. For example, statutorily required termination benefits are generally part of an ongoing benefit arrangement regardless of how frequently terminations occur. Benefits provided under a one-time benefit arrangement include, but are not limited to:

- severance payments
- outplacement job training
- counseling and other services.

A one-time benefit arrangement exists on the date an exit or disposal plan has been communicated to the employees and meets **all** of the following criteria (i.e., the communication date):

- Management, having the authority to approve the action, commits to a plan of termination. Hilton believes this has occurred when the plan has been formally written and approved by the appropriate level.
- The plan identifies the number of employees to be terminated, their job classifications or functions, their locations, and the expected completion date. The specific employees do not need to be named.
- The plan establishes the terms of the benefit arrangement, including the benefits employees will receive upon termination (including but not limited to cash payments), in sufficient detail for employees to determine the type and amounts and benefits they will receive if they are involuntarily terminated.
- Actions required to complete the plan indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn.¹²

The timing of the recognition and measurement of a liability for one-time involuntary employee termination benefits depends on whether employees are required to render service to receive the termination benefits and, if so, whether employees will be retained to render service beyond a minimum retention period.¹³ The minimum retention period should not exceed the legal notification period, or in absence of a legal notification requirement, 60 days.¹⁴ Hilton will apply the following guidance:

- *Service is not required beyond the minimum retention period:* Recognize an expense and the offsetting liability for termination benefits, at fair value, at the communication date.¹⁵
- *Service is required beyond the minimum retention period:* Recognize the expense and offsetting liability ratably over the future service period based on the fair value of the termination benefits as of the termination date.¹⁶

c. Contract Termination Costs and Cease-Use Costs

If Hilton terminates a contract before the end of the contractual term, a liability for the costs to terminate is recognized in accordance with the contract terms.¹⁷ An early termination may be evidenced by, but not limited to written notice given to the counterparty within the required notification period or a negotiated termination agreement with the counterparty. If Hilton will continue to incur costs under the contract through the remaining term without any economic benefit (i.e., the right to receive goods or services), the liability is recognized on the cease-use date instead of in accordance with the contract terms.¹⁸ The liability is measured at its fair value on the date recognized (i.e., date of termination notice or cease-use date).¹⁹

Quoted market prices are the best representation of fair value. However, due to the difficulty in finding quotable market prices for these types of costs, other valuation techniques, including present value, will often be utilized.²⁰ Refer to **FP-FIN-014—Fair Value Accounting Policy** for details.

For guidance on accounting for the termination of a lease, refer to **FP-FIN-007—Lease Accounting Policy**.
Bookmark not defined.

d. Other Associated Costs

Other costs associated with an exit or disposal activity include, but are not limited to, costs to consolidate or close facilities, relocate employees, and certain consulting costs directly associated with the plan.²¹ Hilton will record a liability for other costs associated with an exit or disposal activity in the period the liability is incurred (i.e., as the related services are received), not at a commitment date. The liability is not recognized before it is incurred, even if the costs are incremental to other operating costs and arise as a direct result of an exit or disposal plan.²²

SUBSEQUENT MEASUREMENT

Changes to the liability in periods subsequent to initial measurement calculated using a present value technique are measured using the same discount rate used to initially measure the liability and are recognized as an adjustment to the liability in the period of the change. The change may be the result of a revision to either the timing or the amount of estimated cash flows over the future service period. Changes due to the passage of time (e.g., increases due to payroll increases or years of service) are recognized as an increase in the carrying amount of the liability and as an expense.

If a termination plan changes and employees previously expected to be terminated within the minimum retention period are retained to render service beyond that period, any liability previously recognized at the communication date is adjusted to the amount that would have been recognized if the expense had been recognized ratably over the expected service period.²³

DERECOGNITION

There may be events or circumstances that remove Hilton's responsibility to settle the liability or cost associated with an exit or disposal activity recognized in a prior period. In this case, the related costs are reversed through the same line items in the income statement used when those costs were recognized initially.²⁴

PRESENTATION

a. Costs Associated with Discontinued Operations

Costs associated with an exit or disposal activity involving a discontinued operation are included within the results of discontinued operations.²⁵ Refer to **FP-FIN-012—Assets Held for Sale and Discontinued Operations Accounting Policy**.

b. Costs Associated with Continuing Operations

Costs associated with an exit or disposal activity that does not involve a discontinued operation are included in income from continuing operations before income taxes in Hilton's Consolidated Statements of Operations.²⁶

c. Restructuring Activities

Hilton identifies certain exit and disposal costs as restructuring activities when they are incurred as part of a written and approved plan that materially changes the scope of Hilton's operations or the way Hilton conducts its business. Generally, restructuring activities include all of the costs related to a formal reorganization plan, both charges recognized on the initiation date and charges recognized later as expenses are incurred.

⁹ ASC 712-10-25-1, Compensation - Nonretirement Postemployment Benefits, Overall, Recognition

¹⁰ ASC 712-10-25-2, Compensation - Nonretirement Postemployment Benefits, Overall, Recognition

¹¹ ASC 710-10-25-1 through 25-3, Compensation - General, Overall, Recognition

¹² ASC 420-10-25-4, Exit or Disposal Cost Obligations, Overall, Recognition

¹³ ASC 420-10-25-6 and 30-4, Exit or Disposal Cost Obligations, Overall, Initial Measurement

¹⁴ ASC 420-10-25-7, Exit or Disposal Cost Obligations, Overall, Recognition

¹⁵ ASC 420-10-25-8 and 30-5, Exit or Disposal Cost Obligations, Overall, Initial Measurement

¹⁶ ASC 420-10-25-9 and 30-6, Exit or Disposal Cost Obligations, Overall, Recognition

¹⁷ ASC 420-10-25-12, Exit or Disposal Cost Obligations, Overall, Recognition

¹⁸ ASC 420-10-25-13, Exit or Disposal Cost Obligations, Overall, Recognition

¹⁹ ASC 420-10-30-7 and 30-9, Exit or Disposal Cost Obligations, Overall, Initial Measurement

²⁰ ASC 420-10-30-2 through 30-3, Exit or Disposal Cost Obligations, Overall, Initial Measurement

²¹ ASC 420-10-25-14, Exit or Disposal Cost Obligations, Overall, Recognition

²² ASC 420-10-25-15, Exit or Disposal Cost Obligations, Overall, Recognition

²³ ASC 420-10-35-1 through 35-4, Exit or Disposal Cost Obligations, Overall, Subsequent Measurement

²⁴ ASC 420-10-40-1, Exit or Disposal Cost Obligations, Overall, Derecognition

²⁵ ASC 420-10-45-2, Exit or Disposal Cost Obligations, Overall, Other Presentation Matters

²⁶ ASC 420-10-45-3, Exit or Disposal Cost Obligations, Overall, Other Presentation Matters

In situations where Hilton believes any reorganization plan will exceed one year, it is necessary to document the reasons for the extended timeframe and why Hilton believes costs associated with such a plan are appropriately treated as restructuring activities.

Some examples of costs that may be incurred in connection with restructuring activities are:

- Employee severance and retention payments.
- Moving and relocation costs of both Hilton and its employees.
- Costs associated with office reorganization and re-alignment, including contract terminations.
- Fees paid to human resource consultants advising management on employee terminations.
- Fees paid to IT consultants related to the transition and reorganization of IT systems.
- Fees paid to consultants advising management on the overall restructuring plan.
- Any other costs specifically associated with the fundamental reorganization of Hilton.

Exit and disposal costs associated with restructuring activities are typically recorded within the 'General and administrative expense' line item but could be presented as a separate line item if material for presentation purposes and therefore should be tracked within a separate general ledger account(s).²⁷ Other costs not clearly identified with a fundamental reorganization of Hilton are included in other financial statement expense line items based on their nature.

²⁷ ASC 420-10-S99-1, *Exit or Disposal Cost Obligations, Overall, SEC Materials*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Employee Termination Benefits/ Other Associated Costs – Owned & Leased Hotel	- Accounts payable, accrued expenses and other (credit)* or - Other liabilities (credit)**	- Owned and leased hotels expense (debit)	- Operating Activities (reconciling item to net income)
Employee Termination Benefits/ Other Associated Costs – Managed Employees (reimbursed by Hotel Owner)	- Accounts receivable, net of allowance for doubtful accounts (debit)* or - Other assets (debit)** - Accounts payable, accrued expenses and other (credit)* or - Other liabilities (credit)**	- Other revenues from managed and franchise properties (credit) - Other expenses from managed and franchise properties (debit)	- Operating Activities (reconciling item to net income)
Employee Termination Benefits/ Other Associated Costs – Corporate Employees	- Accounts payable, accrued expenses and other (credit)* or - Other liabilities (credit)**	- General and administrative expense (debit)	- Operating Activities (reconciling item to net income)
Restructuring Activities	- Accounts payable, accrued expenses and other (credit)* or - Other liabilities (credit)**	- General and administrative expense (within separate non-recurring account) (debit)	- Operating Activities (reconciling item to net income)
Exit/Disposal Costs - Discontinued Operations	- Refer to FP-FIN-012—Assets Held for Sale and Discontinued Operations Accounting Policy		

*Expected to be paid within 12-months

** Expected to be paid after 12-months

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-007—Lease Accounting Policy](#)

[FP-FIN-012—Assets Held for Sale and Discontinued Operations Accounting Policy](#)

[FP-FIN-014—Fair Value Accounting Policy](#)

[FP-FIN-025—Asset Retirement Obligation Accounting Policy](#)

TERM/ ACRONYM	DEFINITION
Cease-Use Date	The date Hilton ceases using the right(s) conveyed by the contract. For example, in a cloud computing arrangement the cease-use date is the date Hilton completely stops using the cloud computing services.
Communication Date	The date the plan of termination for one-time employee termination benefits meets all of the criteria and has been communicated to employees.
One-Time Employee Termination Benefits	Benefits provided to current employees that are involuntarily terminated under the terms of a one-time benefit arrangement.
Ongoing Benefit Arrangement	Termination benefits provided under a formally documented severance policy, employee contract, employee manual, or in accordance with statutorily required minimum benefits. Certain factors can indicate the presumption of an ongoing benefits arrangement based on historical practice.
Nonretirement Post-Employment Benefits	All types of benefits, other than those provided through a pension or other postretirement plan, provided to former or inactive employees, their beneficiaries, and covered dependents.
Restructuring	A program planned and controlled by management and materially changes the scope of a business undertaken by an entity or the manner in which that business is conducted.
Special Termination Benefits	Benefits offered for a short period of time in exchange for employee's voluntary termination of service.
Termination Benefits	Benefits provided by an employer to employees in connection with their termination of employment. They may be either special termination benefits offered only for a short period of time or contractual benefits required by the terms of a plan only if specified event, such as a hotel closing, occurs.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.